

Multiple Choice

1. **Answer:** A

Options: A) the market system answering the question of "what" cameras should be produced.; B) the market system answering the question of "when" cameras should be produced.; C) the market system answering the question of "why" cameras should be produced.; D) the influence of government regulation on camera production.; E) the market system answering the question of "where" cameras should be produced.

Note: Correct option: A - the market system answering the question of "what" cameras should be produced.

2. **Answer:** E

Options: A) 4 percent increase; B) 3 percent increase; C) No change in the price level; D) 5 percent decrease; E) 5 percent increase

Note: Correct option: E - 5 percent increase

3. **Answer:** A

Options: A) The PRF and SRF are interchangeable terms referring to the same concept.; B) The PRF is the model used for prediction, while the SRF is used for explanation; C) The PRF is used to infer likely values of the SRF; D) Whether the model is good can be determined by comparing the SRF and the PRF; E) The SRF is a theoretical construct, while the PRF is an empirical construct

Note: Correct option: A - The PRF and SRF are interchangeable terms referring to the same concept.

4. **Answer:** A

Options: A) Corn would become a luxury good due to the price ceiling.; B) The government would have to subsidize corn production.; C) The price of corn would increase dramatically.; D) The price of corn would remain the same but the quality would decrease.; E) The producers of corn would lose revenue due to the decreased price.

Note: Correct option: A - Corn would become a luxury good due to the price ceiling.

5. **Answer:** A

Options: A) A method that minimizes the time taken to produce a product; B) A method that uses more of all inputs to increase output; C) A method that produces the highest quantity of output; D) A method that relies solely on the latest technology; E) A method that achieves the fastest production speed regardless of resource usage

Note: Correct option: A - A method that minimizes the time taken to produce a product

True / False

6. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
7. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Quantity demanded of pears falls.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Yes, it is entirely possible. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key